Mahatma Gandhi University, Kottayam

MGP- UGP (Honours) MODEL QUESTION PAPER

Fourth Semester

Discipline Specific Elective (DSE)-MG4DSEECO205

INTERNATIONAL FINANCE

(2024 ADMISSION ONWARDS)

Remember(K),Understand(U),Apply(A),
Analyse(An),Evaluate(E),Create(C)Skill(S),Interest(I) and Appreciation (Ap)

Duration :2 hours **Maximum marks:70**

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability

Part A

Multiple Choice Question

Answer all questions each question carries **1** marks

1. Which organization works to stabilize international exchange rates and provide financial assistance? [K]/ (CO1)
   a) World Trade Organization (WTO) b) International Monetary Fund (IMF)
   c) World Bank d) SAARC

2. Trade between different regions or countries is called: . [K]/(CO1)

   a) Internal Trade b) External Trade/International Trade
   c) Domestic Trade d) Unilateral Trade
3. The difference between a country's imports and its exports is called …… [U]/(CO1)
   a) Current Account b)Capital account
   b) Balance of Trade c)Balance of Payment

4. India's foreign exchange rate system is best described as: [U]/(CO1)

   a) Free Float b) Fixed System
   c) Managed Float d) Fixed Target Band
5. International finance is concerned with_____ . [U]/(CO1)

   a) exchange rates of currencies b) monetary systems of the world
   c) foreign direct investment d) all of the above
6. When foreign currency assets and liabilities match in terms of amount of exposure and timing of maturities it is described as [U]/(CO2)
   a) Financial hedge b) Natural hedge
   c) Netting d) Perfect hedge
7. Currency SWAP is a method of [K]/(CO2)
   a) Speculation in foreign exchange b) Hedging against foreign exchange risk
   c) Mode of payment of international trade d) None of the above

8. A "Greenfield Project" in FDI relates to: [U]/(CO3)
   a) Building new facilities from scratch. b) Investing in existing companies
   c) Buying agricultural land. d) Acquiring renewable energy assets.
9. International finance mainly discusses the issues related with monetary interactions of at least_____ [U]/(CO1)

   a) one country b)Two or more countries
   c) five countries d) None of the above
10._____ maintains the foreign exchange reserves in India? [U]/ (CO4)

A. State Bank of India

B. Reserve Bank of India

C. Finance Ministry of India

D. EXIM India

(1x10=10)

Part B

Short Answer

Answer any **10** questions Each question carries **3** marks

11.Distinguish between Fixed and Flexible exchange rate . [A]/(CO2)
12.What is managed floating exchange rate? [U]/(CO2)
13.What is dumping? [K]/(CO1)
14.What is international fisher effect [U]/(CO2)
15.What is a trade war? [U]/(CO1)
16.Write a note on BRICS [K]/(CO4)
17.Discuss regionalism [U]/(CO4)
18.What is meant by capital flight? [K]/CO3)
19.What is sudden stop hypothesis? [K]/(CO3)
20. Discuss MNCs [U]/(CO3)
21.Explain the benefits of Economic Integration [A]/(CO4)
22.Why does foreign exchange risk arise? [An]CO2)
23.What is a balance of payment ? [U]/(CO1)

(3x10=30)

Part C

Short Essay

Answer any **5** questions Each question carries **6** marks

24.Explain the role and operation of MNCs in the global economy? [U](CO3)
25.Discuss the Purchasing Power Parity theory [U](CO2)
26.Analyse the role of private capital mobility in smoothening international liquidity [An](CO1)
27.Write a note on Economic Union and Customs union [U](CO4)
28.State the differences between FDI and FPI. [U](CO3)

29.Explain the appreciation and depreciation of currencies [U]/(CO1)
30.Analyse the role of world bank in development finance [An](CO4)

(6x5=30)